

Scenario Planning

Pick the two uncertainties that matter most and are genuinely independent, build the four worlds they produce, then plant the signposts that tell you which one you are entering.

BEST FOR A CHALLENGE, AN OPPORTUNITY, A DECISION · HERMAN KAHN, RAND, 1950S; PIERRE WACK, SHELL, 1970S · TAKES TWO HOURS, THEN A DATE TO REVISIT

HOW TO RUN IT

1. Name the decision the scenarios are for, the horizon, and what is effectively settled between now and then. The settled things hold in every world; they are the walls of the grid, not its axes.
2. List the uncertainties: things that could genuinely land either way, with both ends named. Weigh each against the others: decisive, shapes the decision, or background.
3. Promote exactly two to axes: the most decisive pair that are independent of each other. Ask the question out loud: would knowing how one lands tell you how the other does? If yes, keep the more decisive and find another.
4. Cross the axes. Each corner is a world. Name each one, say which end of each axis it takes, and write the plausible route from today to it. All four get equal effort, including the one you find implausible.
5. For each world, list what it makes true that isn't true today, and what you would do about it: now, or prepared now and done then.
6. Plant signposts: early, observable signs that a world is arriving, each tied to a world by name and to a place you actually look. Then write the moves that are right in every world, the bets that back one world, and the date you will read the signposts next.

Where it falls down. Four futures becomes fourteen becomes none.

WITH A PEN

The decision, the horizon, and what is already settled

Uncertainties

Both ends. Decisive, shapes, background. Two become axes, and must be independent

World 1

Axis ends. Name. How it comes about. What you'd do

World 2

World 3

World 4

The one you find implausible

Signposts

Sign / which world / where you'd see it

Right in every world, and the bets

When the signposts get read next